

Macro Rate Radar — Federal Reserve

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Simple monetary-policy rules — the Taylor-rule family relating the policy rate to inflation and the output gap — evaluated on current public data (inflation 3.34% vs a 2.00% objective, r^* 1.06%, output gap +0.58pp), and set against the meeting path the futures strip currently prices. The median of the five rules sits at **5.07%**, 144bp above the current policy setting of 3.63%, with 172bp of dispersion across rules. Taken to the July 2027 meeting, the rule path implies 71bp more tightening than the futures strip currently prices — a divergence that may be worth a closer look.

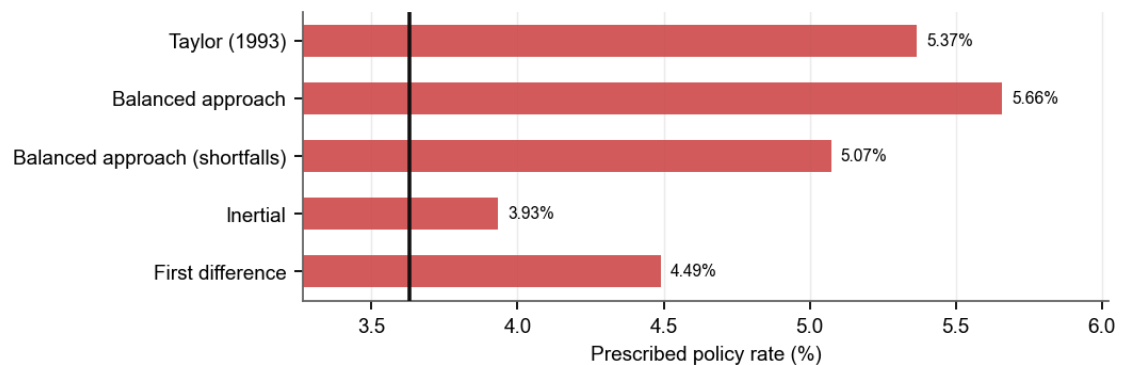
POLICY RATE
3.63%
current setting

MEDIAN RULE
5.07%
+144 bp vs policy

RULE DISPERSION
172 bp
highest minus lowest

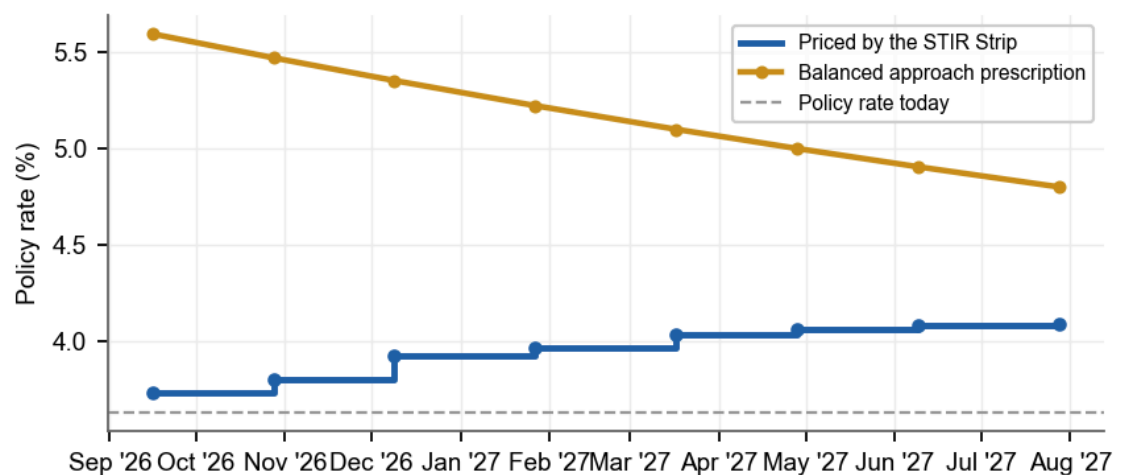
VS THE STRIP
+71 bp
prescribed – priced,
furthest meeting

THE FIVE RULES — PRESCRIPTION VS THE CURRENT SETTING



Rule	Prescribes	vs policy (bp)	Working
Taylor (1993)	5.37%	+174	$1.06 + 3.34 + 0.5 \times (3.34 - 2.00) + 1.0 \times (+0.29) = 5.37\%$
Balanced approach	5.66%	+203	$1.06 + 3.34 + 0.5 \times (3.34 - 2.00) + 2.0 \times (+0.29) = 5.66\%$
Balanced approach (shortfalls)	5.07%	+144	$1.06 + 3.34 + 0.5 \times (3.34 - 2.00) + 2.0 \times \min(+0.29, 0) = 5.07\%$
Inertial	3.93%	+30	$0.85 \times 3.63 + 0.15 \times 5.66 = 3.93\%$
First difference	4.49%	+86	$3.63 + 0.5 \times (3.34 - 2.00) + (+0.29 - +0.10) = 4.49\%$

PRESCRIBED VS PRICED — RULE PATH AGAINST THE FUTURES STRIP



Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
16 Sep 2026	3.734	+9.2	5.60	+186
28 Oct 2026	3.805	+16.3	5.47	+167
09 Dec 2026	3.927	+28.4	5.35	+143

Contact

Ben I. Goulson
Benjamin.Goulson@xpi.com.br
Futures.Offshore@xpi.us

Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
27 Jan 2027	3.966	+32.3	5.22	+126
17 Mar 2027	4.034	+39.1	5.10	+107
28 Apr 2027	4.060	+41.8	5.00	+94
09 Jun 2027	4.083	+44.0	4.91	+82
28 Jul 2027	4.091	+44.8	4.80	+71

Market path from the exchange settlement strip (2026-08-27), inverted into a meeting path: a positive spread means the rule prescribes a higher rate than the curve has priced at that meeting; a negative spread the reverse.

DATA SOURCES

inflation	FRED · Core PCE price index (y/y %) (2026-07-01)
policy rate	FRED · Effective fed funds rate (2026-08-25)
unemployment	FRED · Unemployment rate (2026-07-01)
r*	NY Fed (Holston-Laubach-Williams) · Natural rate r* (HLW) — US (2026-01-01)
NAIRU	FRED · Natural rate of unemployment (CBO) (2026-07-01)

Policy rules are illustrative benchmarks, not forecasts: no central bank follows one mechanically, and prescriptions are sensitive to unobservable inputs (the neutral rate, the output gap) that are estimated or assumed. All data from public sources — FRED/ALFRED, Eurostat, the ECB Data Portal, the Bank of England, the ONS, and Federal Reserve banks.

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Contact

Ben I. Goulson
Benjamin.Goulson@xpi.com.br
Futures.Offshore@xpi.us